Name: _____

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Sheet 1 of 2

# Practice Exam A

ECON 201

**Instructions**

- 60 minutes. Two parts, weighted equally at 10 points each, each on its own sheet printed front and back: Part 1, ten multiple-choice questions; Part 2, one long-form question.
- Closed book and closed notes. Bring a basic calculator. There is no help sheet, since there is not much to put on one: the only formula you might need is for the area of a triangle, and any question that needs it will give it.
- Write your name and CWID, one digit per box, at the top of every sheet: the sheets are graded separately and matched by CWID.
- Show your work and explain your answers in Part 2.

## Part 1: Multiple Choice [10 pts]

1 point each. Fill the bubble of the one best answer.

1. At a price of \$50, 30 students want to buy used skis and 70 want to sell. What do we expect to happen?

   ○ A ○ B ○ C ○ D

   (A) The price rises, since there is excess demand of 40.
   (B) The price stays at \$50, since some skis still sell.
   (C) The price falls, since there is excess supply of 40.
   (D) The price rises, since there is excess supply of 40.

2. A shortage pushes up the price of copper. How do buyers and producers respond to the higher price?

   ○ A ○ B ○ C ○ D

   (A) Buyers use less or find substitutes, and producers supply more.
   (B) Buyers buy more before it rises, and producers hold back their copper.
   (C) Buyers change nothing, and producers cut their output.
   (D) Buyers use more, and producers supply less.

3. Many stands sell the same roasted corn at a going price of \$3. Why does no stand charge more or less than \$3?

   ○ A ○ B ○ C ○ D

   (A) The stands have agreed with each other to charge \$3.
   (B) Above \$3 it sells nothing, and at \$3 it can sell all it likes.
   (C) Buyers care about the stand but not about the price of corn.
   (D) The city has set the price of roasted corn at \$3.

4. A price-taking farm can grow 40 crates of peaches at a marginal cost of \$2 each and 20 more at \$7 each. The going price is \$5. How many crates does it grow?

   ○ A ○ B ○ C ○ D

   (A) 0
   (B) 20
   (C) 60
   (D) 40

5. The farms in a competitive market form a cartel and hold the price above the market-clearing level. What happens?

   (A) Total surplus rises, since farms earn more on each unit.
   (B) Fewer units are sold, so some trades with WTP above MC are lost.
   (C) More units are sold, since farms want to sell more at a higher price.
   (D) Total surplus stays the same, since buyers lose what farms gain.

○ ○ ○ ○
A B C D

6. Demand for lumber shifts right by the same amount in two markets. Supply is steep in one and flat in the other. What happens?

   (A) The price rises more with flat supply, and the quantity rises more there too.
   (B) The price rises by the same amount in both, since the shift is the same.
   (C) The price rises more with steep supply, and the quantity rises less there.
   (D) The price rises more with steep supply, and the quantity rises more there too.

○ ○ ○ ○
A B C D

7. A popular show makes more people want pickleball paddles at every price. In this competitive market:

   (A) supply shifts right, and quantity demanded rises along the demand curve.
   (B) demand shifts right, and supply shifts right.
   (C) demand shifts left, and quantity supplied falls along supply.
   (D) demand shifts right, and quantity supplied rises along supply.

○ ○ ○ ○
A B C D

8. After a rise in demand, sellers keep selling out at the old price. What happens next?

   (A) Prices rise, more is supplied, and some buyers drop out, until the market clears.
   (B) Prices stay at the old level, since no one knows the new equilibrium price.
   (C) Prices fall, since sellers have sold more than they expected to sell.
   (D) Prices rise until the quantity sold falls back to its old level.

○ ○ ○ ○
A B C D

9. Which of these is a long-run shift in the supply of coffee?

   (A) A frost raises the cost of picking this year's crop.
   (B) New farms enter after years of high coffee prices.
   (C) The coffee price rises, and existing farms pick more.
   (D) Cafes buy more coffee at every price.

○ ○ ○ ○
A B C D

10. The same blender sells for $40 at one store and $55 at another nearby. Which is most likely to explain why the Law of One Price fails here?

    (A) There are too many sellers of blenders for any to compete.
    (B) Blenders are identical across the two stores.
    (C) The stores' marginal costs are the same.
    (D) Checking prices takes time, so not all buyers search.

○ ○ ○ ○
A B C D

Name: _____

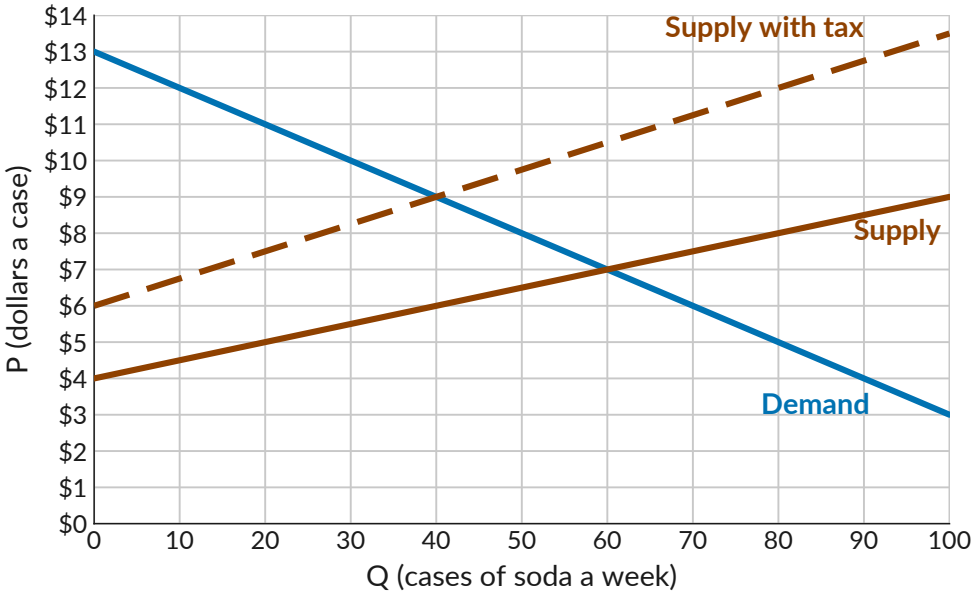
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Sheet 2 of 2. Show your work and explain your answers.

## Part 2: Long-Form Question [10 pts]

### A Tax on Soda

Many sellers offer the same cases of soda. In the graph, the solid lines show the original demand and supply curves. The city then puts a 50% tax on sellers, which raises their marginal cost of supplying each case by half: the dashed line shows supply with the tax. Read your answers off the graph.




(a) [1 pt] What are the equilibrium price and quantity before the tax? Mark this point, *A*, on the graph.

(b) [1.5 pts] With the tax, how many cases are sold, what price do buyers pay, and what price do sellers keep? Mark this point, where demand crosses supply with the tax, as *B* on the graph.

(c) [1.5 pts] On the graph, shade and label the consumer surplus, the producer surplus, the tax revenue, and the deadweight loss with the tax.

(d) [1 pt] Calculate the consumer surplus and the producer surplus with the tax, using the area of a triangle, $\frac{1}{2}$ × base × height. Do buyers or sellers get the larger share of the surplus?

(e) [1.5 pts] The law says sellers pay this tax. How much of the $3 tax do buyers bear, and how much do sellers bear? Calculate each side's share of the tax as a percentage.

(f) [1.5 pts] Explain why buyers bear more of the tax here.

(g) [1 pt] Suppose many close substitutes for soda appeared, so demand became much flatter. How would the split of the tax change, and would the quantity sold fall by more or by less?

(h) [1 pt] What does the deadweight loss represent here?